

- Market crashes happen. There has been a long history of crashes and bubbles from tulip bulbs, the crash of 1929, the program crash, technology bubble, housing, flash crash, to name just a few. These events have happened in the past and will happen again. As financial professionals, we need not only to be prepared when they happen, but knowledgeable enough to be able to react in the proper way when surprise events occur.

Empirical Evidence from the Flash Crash

Investigation into actual trading data on flash crash day confirmed atypical trading behavior in most stocks. However, what struck as much different from other crashes was the market's ability to rebound and self-correct. Our investigation focused on traded volume and price movement over the full day, as well as a review of the intraday trading patterns.

Our main findings are (Table 2.11):

- Volumes were about twice as high as normal. Large cap stocks traded 200% of average, small cap stocks traded 183% of average. These volumes were significantly higher than normal, especially for a non-special event day.

Table 2.11 May 6, 2010—Flash Crash									
Category	30ADV	06/05/2010 Volume	Avg Ratio	Percentage Change			Z-Score		
				Close- Close	Open- Close	High- Low	Close- Close	Open- Close	High- Low
Market Cap									
LC	7,088,778	13,551,862	2.00	−3.2%	−2.7%	−10.7%	−1.8	−1.5	−6.1
SC	502,188	950,161	1.83	−3.8%	−3.4%	−11.8%	−1.4	−1.2	−4.4
Exchange									
Listed	2,875,366	5,515,632	1.95	−3.7%	−3.2%	−11.7%	−1.6	−1.3	−5.2
NASDAQ	1,089,932	2,051,336	1.79	−3.7%	−3.3%	−11.5%	−1.4	−1.2	−4.4
Listed									
LC	6,773,377	12,869,070	1.99	−3.1%	−2.7%	−10.5%	−1.8	−1.5	−6.1
SC	666,493	1,348,684	1.92	−4.1%	−3.5%	−12.4%	−1.5	−1.2	−4.6
NASDAQ									
LC	8,297,812	16,169,230	2.02	−3.6%	−3.0%	−11.4%	−1.9	−1.6	−6.1
SC	395,032	690,254	1.77	−3.7%	−3.3%	−11.5%	−1.3	−1.2	−4.3